

BLACKRIDGE CAPITAL PARTNERS

Portfolio Risk & Compliance Report

Second Quarter 2025 | As of May 16, 2025

Report Classification: CONFIDENTIAL — RESTRICTED DISTRIBUTION**Fund Family:** Blackridge Multi-Strategy Fund LP | Blackridge Global Macro Fund LP**AUM (Combined):** USD 4.82 Billion**Report Period:** April 1, 2025 – May 16, 2025**Prepared By:** Risk Management Division — Quantitative Strategy Group**Authorized Recipients:** CIO, Portfolio Managers, Risk Committee, Chief Compliance Officer**Distribution:** Board of Directors — Risk Oversight Subcommittee**Report Version:** v2.3 — Final**Next Review Date:** May 30, 2025

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SECTION 1 — EXECUTIVE SUMMARY

Portfolio Performance Overview & Critical Risk Status | Q2 2025

Combined AUM	MTD Return	YTD Return	Active VaR (99%)
USD 4.82B	-1.43%	+6.87%	USD 68.4M
Sharpe Ratio (YTD)	Max Drawdown (YTD)	Beta (vs S&P; 500)	Leverage Ratio
1.14	-4.21%	0.78	2.34x

Executive Commentary

The Blackridge Multi-Strategy Fund LP ('MSF') and Blackridge Global Macro Fund LP ('GMF') concluded the review period ending May 16, 2025 with combined assets under management of USD 4.82 billion. While year-to-date performance of +6.87% remains ahead of the blended benchmark (+4.12%), the month-to-date drawdown of -1.43% reflects deteriorating conditions in large-cap technology and elevated sensitivity to Federal Reserve communication risk.

The Risk Committee convened an emergency session on May 9, 2025 following a breach of the 99% 1-day Value-at-Risk (VaR) threshold. The breach — the second such event in Q2 — was attributable to concentrated technology sector exposure (31.4% of gross notional) combined with outsized vega positioning in NVDA and MSFT options. The CIO has authorized a phased de-risking plan targeting a reduction of tech exposure to below 24% by May 31, 2025.

Macro headwinds persist: the FOMC's May 7 statement reinforced a higher-for-longer rate posture, applying pressure to duration-sensitive positions across the GMF credit book. Additionally, geopolitical instability in the Middle East and renewed USD strength have created adverse conditions for the fund's EM equity long book, which declined 3.2% in the review period. Liquidity conditions in several small-cap and OTC credit positions remain a concern for the compliance team ahead of anticipated Q2 redemption requests.

Critical Risk Flags — Period Summary

Severity	Alert Description	Date	Detail
■ CRITICAL	99% 1-Day VaR Breach	May 9, 2025	USD 68.4M vs. USD 55.0M limit — Escalated to CIO
■ CRITICAL	Technology Sector Concentration	Ongoing	31.4% gross notional vs. 25.0% policy limit
■ HIGH	Leverage Ratio Breach	May 12, 2025	2.34x vs. 2.20x internal policy ceiling
■ HIGH	EM Long Book Drawdown	April 29	GMF EM equities -3.2% MTD; stop-loss at -5.0%
● MEDIUM	Vega Concentration — Tech Options	Ongoing	Net vega USD 4.1M/vol point; limit USD 3.0M
● MEDIUM	Counterparty Exposure — Morgan Stanley	May 14	OTC derivative net exposure 94% of limit
● MEDIUM	Illiquid Position Flag	May 11	3 positions >10% ADV; liquidity score: 62/100
■ LOW	FX Hedge Gap — EUR/USD	Ongoing	GMF EUR exposure 68% hedged vs. 80% target

Risk Management has initiated remediation procedures for all CRITICAL and HIGH items. Full escalation logs and remediation timelines are detailed in Section 10 of this report.

SECTION 2 — PORTFOLIO ALLOCATION BREAKDOWN

Gross Notional Exposure by Sector, Geography, Asset Class | As of May 16, 2025

2.1 Asset Class Allocation

Asset Class	Gross Notional (USD M)	Net Notional (USD M)	% Gross	% Net	Limit %	Status
Equity — Long	2,840	1,620	35.2%	33.6%	40.0%	OK
Equity — Short	1,220	(1,220)	15.1%	N/A	20.0%	OK
Fixed Income — IG Credit	980	740	12.1%	15.3%	15.0%	WATCH
Fixed Income — HY Credit	620	480	7.7%	9.9%	10.0%	WATCH
EM Equities	510	460	6.3%	9.5%	12.0%	OK
Derivatives (Options)	890	210	11.0%	4.3%	12.0%	OK
Derivatives (Futures)	480	60	5.9%	1.2%	8.0%	OK
Cash & Equivalents	520	520	6.4%	10.8%	N/A	OK
Other / Alternatives	20	18	0.2%	0.4%	5.0%	OK
TOTAL	8,080	2,888	100%	100%		

2.2 Sector Allocation (Equity Book — Gross Notional)

Sector	Long (USD M)	Short (USD M)	Net (USD M)	Gross %	Policy Limit	Status
Technology	1,480	(940)	540	31.4%	25.0%	■ BREACH
Healthcare	620	(180)	440	13.1%	20.0%	OK
Financials / Banking	540	(210)	330	11.4%	15.0%	OK
Consumer Discretionary	420	(160)	260	8.9%	15.0%	OK
Energy	390	(120)	270	8.3%	12.0%	OK
Industrials	280	(90)	190	5.9%	12.0%	OK
Communication Services	260	(140)	120	5.5%	10.0%	OK
Real Estate	140	(60)	80	3.0%	8.0%	OK
Consumer Staples	120	(40)	80	2.5%	8.0%	OK
Utilities	60	(20)	40	1.3%	5.0%	OK
Materials	50	(20)	30	1.1%	5.0%	OK
Other / Index	160	(60)	100	3.4%	5.0%	OK
TOTAL	4,520	(2,040)	2,480	100%		

2.3 Geographic Allocation

Region	AUM Exposure (USD M)	% of Total	Currency Hedge %	Policy Hedge Min
United States	2,940	61.0%	N/A (USD base)	N/A

Region	AUM Exposure (USD M)	% of Total	Currency Hedge %	Policy Hedge Min
Western Europe	640	13.3%	68%	80% ■
Asia-Pacific (DM)	420	8.7%	74%	70%
Emerging Markets	510	10.6%	52%	60% ■
Canada	180	3.7%	81%	75%
Other	130	2.7%	55%	60% ■
TOTAL	4,820	100%		

Note: Three geographic regions show FX hedge ratios below policy minimums. The EUR gap (68% vs. 80% target) is the most material, representing ~USD 82M of unhedged EUR exposure. FX overlay trades are pending execution.

SECTION 3 — VALUE AT RISK & EXPECTED SHORTFALL ANALYSIS

1-Day & 10-Day VaR / CVaR | Historical & Parametric | Rolling Volatility

3.1 VaR Summary — Combined Fund (USD Millions)

Metric	1-Day (USD M)	10-Day (USD M)	Method	Confidence	Limit (USD M)	Status
VaR	44.2	139.7	Historical Sim.	95%	50.0	OK
VaR	68.4	216.2	Historical Sim.	99%	55.0	■ BREACH
VaR	42.8	135.3	Parametric	95%	50.0	OK
VaR	65.1	205.8	Parametric	99%	55.0	■ BREACH
CVaR (Exp. Shortfall)	89.6	283.2	Historical Sim.	95%	80.0	■ BREACH
CVaR (Exp. Shortfall)	112.4	355.4	Historical Sim.	99%	100.0	■ BREACH
Stressed VaR (2008 scenario)	124.8	394.2	Scenario-based	99%	150.0	OK
Incremental VaR — Tech Sector	31.2	98.6	Component	99%	20.0	■ BREACH

3.2 Rolling Volatility & Drawdown

Realized 30-day annualized volatility for MSF stands at 12.4% (prior month: 9.8%), a 26.5% increase driven by technology sector dispersion. GMF realized vol is 8.7% (prior: 8.1%), largely contained by macro hedges. Implied volatility of the portfolio's options book (weighted average IV) is 28.6%, vs. 21.3% at Q1 close — indicating significant market pricing of tail risk.

Period	MSF Realized Vol (Ann.)	GMF Realized Vol (Ann.)	Blended IV	VIX (period avg)	Max 1D Drawdown
May 1–16	12.4%	8.7%	28.6%	19.8	-1.43%
April 2025	10.1%	8.2%	24.1%	17.4	-2.18%
Q1 2025	9.2%	7.9%	21.3%	15.6	-1.82%
Q4 2024	11.8%	9.4%	23.7%	18.2	-3.41%
Q3 2024	8.6%	7.1%	19.8%	14.3	-1.27%
YTD 2025	10.8%	8.3%	24.7%	17.6	-4.21%

3.3 VaR Attribution by Risk Factor

Risk Factor	VaR Contribution (USD M)	% of Total VaR	vs. Prior Month
Technology Equity	31.2	45.6%	+18.4%
EM Equity	10.8	15.8%	+6.2%
Interest Rate (DV01)	9.6	14.0%	+2.1%
Credit Spread	6.4	9.4%	-1.3%
FX	4.8	7.0%	+3.8%
Volatility (Vega)	4.1	6.0%	+4.1%

Risk Factor	VaR Contribution (USD M)	% of Total VaR	vs. Prior Month
Commodity	1.5	2.2%	-0.5%
TOTAL (after correl)	68.4	100%	+22.1%

Technology equity risk factor now accounts for 45.6% of total VaR, up from 27.2% at Q1 close, reflecting both increased gross notional and elevated realized dispersion within the sector. Risk Management recommends reducing technology gross notional by a minimum of USD 380M to bring VaR back within policy limits.

SECTION 4 — STRESS TESTING & SCENARIO ANALYSIS

Six Core Stress Scenarios | Portfolio P&L; Impact Estimates

Stress testing is conducted monthly using both historical analog scenarios and hypothetical forward-looking shocks. Results below represent estimated combined fund P&L; impacts under each scenario, expressed as USD millions and as a percentage of combined NAV (USD 2.04B net).

Scenario	Shock Parameters	Est. P&L; Impact (USD M)	% of NAV	Severity
1. Deep Recession (2008 analog)	Equities -40%, IG spreads +200bp, HY +500bp, VIX 60	(218.4)	-10.7%	SEVERE
2. Fed Rate Shock (+150bp)	Rates +150bp sudden; 10Y UST at 6.2%; equities -12%	(98.6)	-4.8%	HIGH
3. Technology Sector Selloff	Tech equities -25%; NVDA/MSFT/AAPL -30%; VIX +15	(124.2)	-6.1%	SEVERE
4. Oil Shock (Brent +50%)	Brent crude to USD 135/bbl; CPI +1.2%; USD +4%	(42.8)	-2.1%	MODERATE
5. USD Surge (+8%)	DXY +8%; EM FX -10%; EM equities -15%	(78.4)	-3.8%	HIGH
6. EM Collapse (2013 Taper analog)	EM equities -20%; EM FX -12%; EM credit +350bp	(91.2)	-4.5%	HIGH
7. Geopolitical Tail (Middle East)	Oil +30%, global equities -8%, USD +3%	(54.6)	-2.7%	MODERATE
8. AI Sector Correction	AI-related equities -35%; semis -28%; broad tech -18%	(138.7)	-6.8%	SEVERE
9. Simultaneous Multi-Factor	Recession + Rate shock + EM collapse combined	(312.0)	-15.3%	CRITICAL
10. Mild Correction (Base Case)	Equities -5%; rates +25bp; FX stable	(22.4)	-1.1%	LOW

Stress Test Observations

Scenario 9 (Multi-Factor Combined) represents the single most adverse outcome at -15.3% of NAV (USD -312M). While this scenario is considered low probability, the fund's concentrated technology exposure combined with EM long book and duration-sensitive credit positions create meaningful cross-factor correlation during stress events.

Scenario 8 (AI Sector Correction) is flagged as the highest-probability severe scenario, reflecting current market dynamics around AI valuations. NVDA, MSFT, GOOGL, and META collectively represent USD 724M in gross long notional. A -35% move in AI-linked equities would generate an estimated loss of USD 138.7M, breaching the fund's stop-loss threshold of USD 120M.

Scenario 3 (Technology Selloff) similarly breaches the stop-loss threshold. Risk Management has recommended implementing protective put spreads on the Nasdaq-100 with a notional coverage of USD 400M, at an estimated premium cost of USD 8.2M.

SECTION 5 — DERIVATIVES EXPOSURE & GREEKS ANALYSIS

Options Book, Futures Positions, Greek Sensitivities | As of May 16, 2025

5.1 Options Book — Top Positions by Notional

Position	Type	Notional (USD M)	Expiry	Strike	Delta	Gamma	Vega (USD/vol pt)	Theta (USD/day)
NVDA – Long Call Spread	Call Spread	124.0	Jun 2025	800/900	+0.42	+0.0008	+280,000	-18,400
MSFT – Long Put	Put	98.0	Jul 2025	380	-0.38	+0.0006	+210,000	-12,600
QQQ – Put Spread	Put Spread	180.0	Jun 2025	420/390	-0.29	+0.0004	+190,000	-9,800
AAPL – Short Call	Short Call	86.0	May 2025	210	-0.55	-0.0009	-240,000	+14,200
SPX – Iron Condor	Condor	220.0	Jun 2025	5200/5400/5600/5800	+0.04	-0.0011	-180,000	+22,600
IWM – Long Put	Put	64.0	Jun 2025	195	-0.44	+0.0005	+140,000	-8,200
META – Long Call	Call	72.0	Aug 2025	560	+0.48	+0.0007	+198,000	-11,400
EEM – Long Put	Put	46.0	Jun 2025	38	-0.51	+0.0004	+88,000	-5,600

5.2 Aggregate Greeks Summary — Options Book

Greek	Value	Limit	Status	Interpretation
Net Delta	USD +142.6M	USD ±200M	OK	Net long; modest directional bias
Net Gamma	USD +0.0014/pt	0.0025	OK	Positive convexity; benefits from vol
Net Vega	USD +4,106,000	USD 3,000,000	■ BREACH	Excess vol sensitivity; limit exceeded
Net Theta	USD -29,200/day	USD -50,000/day	OK	Time decay within acceptable range
Net Rho	USD -8,400/bp	USD ±15,000/bp	OK	Rate sensitivity manageable

5.3 Futures Exposure Summary

Contract	Direction	Notional (USD M)	DV01 / Sensitivity	P&L; MTD (USD M)
S&P; 500 E-mini	Long	120.0	USD 50/index pt	+1.8
10Y UST Futures	Short	180.0	DV01 USD -16,200/bp	-4.2
EUR/USD FX Fwd	Short EUR	82.0	USD 820/pip	-1.1
Brent Crude	Long	48.0	USD 1,000/USD per bbl	+3.4
VIX Futures	Long	28.0	USD 1,000/VIX pt	+6.2
Gold Futures	Long	22.0	USD 100/USD per oz	+0.8

The net vega breach of USD +4.1M/vol point represents the primary derivatives-related compliance concern. With implied volatility elevated (blended IV 28.6%), further IV expansion of 5 vol points would generate ~USD 20.5M of mark-to-market gain, but a vol contraction of 5 points would cost ~USD 20.5M. The vega concentration is primarily driven by technology options and should be partially neutralized via vega-selling strategies.

SECTION 6 — COMPLIANCE & REGULATORY RISK

Policy Breaches, Basel III Considerations, Watchlist Items, Audit Flags

6.1 Active Policy Breaches

Breach ID	Policy Reference	Metric	Actual	Limit	Date Identified	Status
BR-2025-014	Risk Policy §4.2.1	99% 1D VaR	USD 68.4M	USD 55.0M	May 9, 2025	Open — Remediation Active
BR-2025-015	Risk Policy §5.1.3	Tech Sector Gross %	31.4%	25.0%	May 6, 2025	Open — Remediation Active
BR-2025-016	Risk Policy §6.3.2	Leverage Ratio	2.34x	2.20x	May 12, 2025	Open — Under Review
BR-2025-017	Risk Policy §8.4.1	Net Vega Limit	USD 4.1M	USD 3.0M	May 8, 2025	Open — Hedge Pending
BR-2025-012	Compliance Manual §3.7	IG Credit Allocation	12.1%	12.0%	May 2, 2025	WATCH — Near Limit
BR-2025-010	FX Hedging Policy §2.1	EUR Hedge Ratio	68%	80%	April 28, 2025	Open — FX Overlay Pending
BR-2025-009	Liquidity Policy §9.2	>10% ADV Positions	3 pos.	0	May 11, 2025	Open — Reduction Plan Filed

6.2 Basel III / Regulatory Capital Considerations

As an SEC-registered investment adviser with prime brokerage relationships subject to Regulation T and FINRA Rule 4210, Blackridge monitors gross leverage and margin utilization at the prime broker level. Current margin utilization with Goldman Sachs Prime Services stands at 78.4% of available margin, and with Morgan Stanley Prime Brokerage at 82.1%. The Morgan Stanley margin utilization is approaching the internal 85% alert threshold.

From a Basel III counterparty risk standpoint, OTC derivative exposures are subject to central clearing mandates under Dodd-Frank for standardized swaps. Three bilateral OTC credit default swaps (CDS) positions with notional value USD 84M remain in the non-cleared book and are subject to ISDA Credit Support Annex (CSA) margin requirements. Collateral posted: USD 12.4M in US Treasury bills.

6.3 Audit Remarks & Watchlist Observations

Ref	Category	Observation	Auditor	Priority
AUD-041	Position Sizing	Three positions exceed 3% of NAV without CIO approval	Internal Audit	HIGH
AUD-038	Documentation	Trade rationale missing for 7 options positions >USD 20M	Compliance	MEDIUM
AUD-036	Counterparty	Morgan Stanley OTC exposure nearing CSA threshold	Risk Mgmt	HIGH
AUD-033	Disclosure	LP quarterly letter omits reference to VaR breach	Legal/CCO	HIGH
AUD-029	Liquidity	Liquidity classification of HY position HYG stale (>30d)	Risk Mgmt	MEDIUM
AUD-024	FX	EUR forward hedge gap; no approved extension on record	Compliance	MEDIUM

AUD-033 requires immediate attention: failure to disclose the VaR breach in the LP quarterly letter may constitute a material omission under the fund's partnership agreement and SEC regulatory obligations. The CCO has been notified. An amended letter is to be issued by May 23, 2025.

SECTION 7 — LIQUIDITY & COUNTERPARTY RISK

Position Liquidity Scoring, Redemption Risk, OTC Exposure, Settlement Risk

7.1 Liquidity Scoring — Portfolio Positions

Positions are scored on a 0–100 liquidity scale based on average daily trading volume (ADV), bid-ask spread, market depth, and instrument type. Scores below 50 are flagged as illiquid for risk management purposes.

Position	Instrument	Notional (USD M)	ADV (USD M)	% of ADV	Liq. Score	Status
NVDA	Equity	182.0	4,800	3.8%	94	Liquid
MSFT	Equity	164.0	5,200	3.2%	96	Liquid
AAPL	Equity	148.0	6,800	2.2%	97	Liquid
HY Corp Bonds	Fixed Income HY	280.0	42	66.7%	41	■ Illiquid
EM Local Bonds	EM Debt	124.0	18	68.9%	38	■ Illiquid
Small-Cap Tech	Equity (basket)	88.0	8	110.0%	28	■ Illiquid
OTC CDS Basket	Derivative OTC	84.0	N/A (OTC)	N/A	22	■ Illiquid
EUR/USD Fwds	FX Forward	82.0	N/A (OTC)	N/A	68	Liquid
GOOGL	Equity	122.0	3,900	3.1%	95	Liquid
META	Equity	96.0	2,800	3.4%	93	Liquid

7.2 Redemption Risk Assessment

MSF has a 90-day redemption notice period with quarterly liquidity windows. GMF has a 45-day notice period with monthly liquidity. The fund received formal redemption notices totaling USD 148M for the June 30, 2025 liquidity date, representing 3.1% of combined AUM. Estimated liquid assets available within 90 days: USD 2,840M. Current redemption coverage ratio: 19.2x — adequate under normal conditions. However, under the EM Collapse stress scenario, liquid assets contract to ~USD 1,640M, reducing coverage to 11.1x.

7.3 Counterparty Exposure Summary

Counterparty	Exposure Type	Gross Exp. (USD M)	Net Exp. (USD M)	Limit (USD M)	Utilization %	Status
Goldman Sachs	Prime Brokerage	1,240	620	800	77.5%	OK
Morgan Stanley	Prime + OTC Deriv	980	510	540	94.4%	■ WATCH
JPMorgan	OTC Derivatives	420	180	400	45.0%	OK
Barclays	Repo / Financing	280	240	350	68.6%	OK
BNP Paribas	FX Forwards	180	82	250	32.8%	OK
Citadel Securities	Market Making	120	60	200	30.0%	OK

Morgan Stanley counterparty utilization at 94.4% is the primary concern. An additional USD 30M of OTC exposure with Morgan Stanley would breach the counterparty limit, triggering a mandatory reduction notice under Risk Policy §7.1.4. Risk Management has flagged this to the CIO and recommended no new OTC trades be executed with Morgan Stanley until utilization falls below 80%.

SECTION 8 — SECTOR-SPECIFIC RISK COMMENTARY

Technology | Banking | Healthcare | Energy | Consumer Discretionary

Technology (31.4% of Gross Notional — BREACH)

■ OVERWEIGHT / BREACH

The technology sector represents the single largest risk concentration in the combined portfolio. Top holdings include NVDA (USD 182M long), MSFT (USD 164M long), AAPL (USD 148M long), GOOGL (USD 122M long), and META (USD 96M long), collectively comprising USD 712M in gross long notional. The AI infrastructure theme has driven strong YTD performance (+14.2% for the tech long book), but elevated valuations (sector forward P/E of 31.4x vs. 5-year average 24.8x) and rising interest rates create meaningful downside risk. NVDA in particular trades at 38x forward earnings. Any negative AI capex guidance from hyperscalers could trigger a rapid re-rating. The options vega concentration in tech adds a secondary risk layer: a volatility compression event coinciding with an equity selloff would amplify losses.

Financials / Banking (11.4% of Gross)

NEUTRAL

Banking sector exposure is broadly neutral to slightly positive, with net long positioning of USD 330M. The fund benefits from higher-for-longer rates through its bank equity longs (JPM, BAC, GS). Key risks: regional bank fragility (commercial real estate loan books), potential credit deterioration in consumer lending, and Basel III endgame capital requirements which may constrain bank buybacks. The fund's short book includes two regional bank names (not individually disclosed) which have performed well MTD (+8.4% contribution from banking shorts).

Healthcare (13.1% of Gross)

UNDERWEIGHT vs. POLICY

Healthcare is held at 13.1% gross notional vs. the 20% policy limit, representing a deliberate underweight. The fund holds long positions in LLY (GLP-1 obesity drugs thesis), ISRG (surgical robotics), and a diversified biotech basket. Near-term risks include FDA advisory committee decisions in June for two held biotech names, and potential Medicaid reimbursement cuts in the federal budget reconciliation. Event risk is meaningful but position-size-controlled.

Energy (8.3% of Gross)

NEUTRAL / GEOPOLITICAL
WATCH

Energy exposure is primarily through long positions in integrated majors (XOM, CVX) and the Brent crude futures long (USD 48M). Geopolitical tensions in the Middle East have provided a tailwind (Brent crude futures +3.4% MTD contribution), but OPEC+ supply uncertainty and USD strength create two-sided risk. The fund's energy shorts (USD 120M) are in E&P; names with high breakeven costs. Energy sector performance is highly correlated with GMF's macro rates view.

Consumer Discretionary (8.9% of Gross)

NEUTRAL / CAUTION

Consumer discretionary exposure is concentrated in e-commerce (AMZN USD 84M long) and luxury goods (LVMH EUR equivalent). Consumer spending data has softened in April, with U.S. retail sales missing consensus by 0.4%. Credit card delinquency rates at major banks rose to 2.8% in Q1 (highest since 2019), suggesting consumer stress. The fund's short book in mid-tier retail has generated USD 6.2M MTD. Risk Management flags downside asymmetry if the May consumer confidence print disappoints significantly.

SECTION 9 — MARKET EVENTS & EARNINGS RISK CALENDAR

Q2 2025 Macro Events, Fed Communications, Earnings Exposure, Geopolitical Risk

9.1 Upcoming High-Impact Events (May 16 – June 30, 2025)

Date	Event	Relevance to Portfolio	Risk Level
May 21	NVDA Earnings (Post-mkt)	USD 182M long; AI capex guidance critical	CRITICAL
May 22	FOMC Meeting Minutes Release	Rate path clarity; duration exposure	HIGH
May 28	US Core PCE (April)	Inflation read; Fed policy signal	HIGH
Jun 4	OPEC+ Output Decision	Brent crude long USD 48M; energy shorts	MEDIUM
Jun 5	US Non-Farm Payrolls (May)	Labor market; rate cut timing	HIGH
Jun 11	Fed FOMC Decision & Press Conference	Rates; market vol expected to spike	CRITICAL
Jun 12	US CPI (May)	Inflation; rate sensitivity	HIGH
Jun 18	Triple Witching Options Expiry	Large options book; gamma risk	HIGH
Jun 25	BoE Policy Decision	EUR/GBP; European equity exposure	MEDIUM
Jun 30	Q2 Window Close / Redemption Date	USD 148M redemptions due; liquidity	HIGH

9.2 Earnings Season Exposure Analysis

Company	Ticker	Position (USD M)	Direction	Earnings Date	Implied Move (Options)	Risk
NVIDIA	NVDA	182	Long	May 21	±9.4%	CRITICAL
Microsoft	MSFT	164	Long	Jul 24	±4.2%	MEDIUM
Apple	AAPL	148	Long	Jul 31	±3.8%	MEDIUM
Alphabet	GOOGL	122	Long	Jul 22	±5.1%	HIGH
Meta Platforms	META	96	Long	Jul 23	±6.3%	HIGH
Amazon	AMZN	84	Long	Aug 1	±4.9%	MEDIUM
Eli Lilly	LLY	68	Long	Aug 5	±7.2%	HIGH

9.3 Macroeconomic & Geopolitical Risk Commentary

Federal Reserve: The May 7 FOMC statement maintained the federal funds rate at 5.25%–5.50%. Chair Powell's press conference struck a more hawkish tone than markets expected, pushing back the first rate cut to no earlier than September 2025. This has increased pressure on the GMF credit book (DV01 exposure of USD -16,200/bp on 10Y UST futures short) and compressed multiples in growth equities.

Inflation: April CPI printed at 3.4% YoY (consensus 3.3%). Core services inflation remains sticky at 4.8% YoY. Any upside surprise in the May 28 PCE print could push 10Y Treasury yields toward 4.8%, generating estimated P&L; impact of -USD 29M on the combined rate-sensitive book.

Geopolitical: Escalating tensions in the Middle East (Strait of Hormuz shipping concerns) have supported Brent crude and gold positions. However, a broader risk-off episode would negatively impact EM equity longs. The fund's VIX long (USD

28M) provides partial tail hedge. Secondary geopolitical risk: US-China technology export restrictions represent an existential risk to semiconductor holdings (NVDA in particular).

SECTION 10 — RISK ALERTS & ESCALATION EVENTS LOG

Active Alerts, Incident Timeline, Resolution Status | Q2 2025

10.1 Active Alert Dashboard

[CRITICAL] CRITICAL ALERTS

BR-2025-014	May 9, 2025	99% 1-Day VaR = USD 68.4M (limit USD 55.0M). Breach magnitude: 24.4%. CIO notified. De-risking plan approved. Tech allocation reduction in progress. Estimated resolution: May 31, 2025.
BR-2025-015	May 6, 2025	Technology sector gross notional at 31.4% vs. 25.0% policy limit. Incremental VaR from tech = USD 31.2M. Phased reduction authorized; three large tech positions earmarked for trimming.

[HIGH] HIGH-RISK ALERTS

BR-2025-016	May 12, 2025	Leverage ratio 2.34x vs. 2.20x ceiling. Excess leverage driven by tech position sizing and GMF credit book. Reduction plan: unwind HY credit positions USD 80M target.
BR-2025-017	May 8, 2025	Net vega USD 4.1M/vol pt vs. USD 3.0M limit. Excess driven by NVDA and MSFT long calls. Vega-selling strategy to be implemented post-NVDA earnings.
AUD-033	May 14, 2025	LP Quarterly Letter for Q1 2025 does not reference May 9 VaR breach. Material omission risk. CCO review underway; amended letter targeted for May 23.
CP-007	May 14, 2025	Morgan Stanley counterparty utilization at 94.4% (limit 100%). No new OTC trades authorized with Morgan Stanley per CIO directive.

[MEDIUM] MEDIUM-RISK ALERTS

LIQ-011	May 11, 2025	Three positions (HY Corp Bonds USD 280M, EM Local Bonds USD 124M, Small-Cap Tech Basket USD 88M) exceed 10% of ADV. Liquidity score 62/100. Reduction plan submitted.
FX-004	Apr 28, 2025	EUR/USD hedge ratio at 68% vs. 80% policy minimum. Unhedged EUR exposure ~USD 82M. FX overlay pending execution; blocked by spreads.
BR-2025-012	May 2, 2025	IG Credit at 12.1% gross, limit 12.0%. Minimal breach; no reduction required unless allocation increases further. Monthly monitoring.

10.2 Incident Timeline — Q2 2025

Date	Event
Apr 2	GMF EM equity book begins underperforming; EM FX headwind identified.
Apr 14	Tech allocation crosses 28% gross; Risk Mgmt issues preliminary alert.
Apr 21	Q1 earnings — META +6.2%, MSFT +3.8%, NVDA +8.1% (positions benefit).
Apr 28	EUR hedge gap flagged after FX overlay rolls failed to execute at target.
May 2	IG Credit allocation creeps to 12.1%; policy limit monitoring escalated.
May 6	Tech gross notional reaches 31.4%; policy breach logged as BR-2025-015.
May 7	FOMC hawkish hold; GMF rates positions adverse; DV01 loss USD -4.2M.
May 8	Net vega breach logged (BR-2025-017) as options book IV expands.
May 9	99% VaR breaches USD 55M limit; BR-2025-014 logged; emergency Risk Committee call.
May 11	Liquidity scoring review flags 3 illiquid positions; LIQ-011 issued.

Date	Event
May 12	Leverage ratio reaches 2.34x; BR-2025-016 logged by Finance.
May 14	Legal flags LP letter omission (AUD-033); CCO review initiated.
May 16	Current reporting date. Six active breaches; de-risking plan in execution.

SECTION 11 — STRATEGIC RECOMMENDATIONS

Risk Reduction Actions, Hedging Strategies, Operational Improvements

11.1 Priority Action Plan — Next 30 Days

Priority	Action	Owner	Target Date	Est. Impact
P1 – Critical	Reduce tech gross notional by USD 380M (NVDA -100M, MSFT -80M, AAPL -80M, other -120M)	PM / Risk	May 31	VaR to ~USD 52M (within limit)
P1 – Critical	File amended LP Q1 letter disclosing VaR breach event	CCO / Legal	May 23	Regulatory / LP trust
P2 – High	Reduce leverage ratio to 2.15x via HY credit unwind USD 80M	PM / Finance	May 28	Leverage compliance restored
P2 – High	Implement vega-selling strategy (short straddles) post-NVDA earnings	Options Desk	May 22	Net vega to ~USD 2.8M
P2 – High	Execute EUR/USD FX overlay trades to restore hedge ratio to 80%+	FX Desk	May 20	FX compliance restored
P3 – Medium	Negotiate reduction of Morgan Stanley OTC exposure below 80% limit	Capital Mgmt	Jun 6	CP risk reduced
P3 – Medium	Liquidate or reduce illiquid positions (HY bonds, EM local debt)	PM	Jun 15	Liquidity score to 75+
P3 – Medium	Purchase QQQ put spread hedge (USD 400M notional) for tech tail risk	Options Desk	May 21	Downside protection ~USD 40M
P4 – Low	Update liquidity classifications for stale HY positions	Risk Mgmt	May 20	Audit compliance (AUD-029)
P4 – Low	Document trade rationale for 7 undocumented options positions	Compliance	May 22	Audit compliance (AUD-038)

11.2 Medium-Term Portfolio Strategy Adjustments (60–90 Days)

Diversification: Risk Management recommends rebuilding sector diversification by deploying capital from technology into healthcare (target: +4% to 17% gross) and industrials (target: +2% to 8% gross). These sectors offer lower correlation to AI sentiment risk and benefit from the infrastructure spending cycle.

Volatility Management: The current vega profile is skewed toward benefit from volatility expansion. As the NVDA earnings catalyst passes, the options book should be rebalanced toward a more neutral vega stance. Consider rolling into calendar spreads to reduce near-term theta drag while preserving optionality.

EM Book: The EM equity long book (-3.2% MTD) is approaching the -5.0% stop-loss threshold. The PM should evaluate whether the EM thesis remains intact or whether geopolitical and USD strength risks warrant a structural reduction to below 6% gross notional (from current 6.3%).

Liquidity Improvement: Prioritize reducing illiquid positions ahead of the June 30 redemption window. A target liquidity score of 75+ (from current 62) can be achieved by reducing HY credit by USD 80M and EM local bonds by USD 40M. The proceeds should remain in cash or liquid equivalents through the redemption date.

SECTION 12 — APPENDIX

Glossary, Abbreviations, Methodology Notes, Assumptions, Analyst Disclosures

12.1 Glossary of Key Terms

VaR (Value at Risk): Statistical measure of maximum expected loss over a defined period at a given confidence level.

CVaR / Expected Shortfall: Average loss in the worst X% of scenarios beyond the VaR threshold.

Delta: Rate of change of option price relative to underlying asset price change.

Gamma: Rate of change of delta relative to underlying price; measures convexity.

Vega: Sensitivity of option price to changes in implied volatility.

Theta: Rate of time decay of an option; typically negative for long options.

Rho: Sensitivity of option value to changes in interest rates.

DV01: Dollar value change of a fixed income position per 1 basis point change in yield.

ADV: Average Daily Volume — used to measure position liquidity relative to market depth.

Gross Notional: Total absolute value of all long and short positions without netting.

Net Notional: Long positions minus short positions, reflecting directional market exposure.

Leverage Ratio: Gross notional divided by net asset value (NAV); measures overall portfolio leverage.

ISDA CSA: International Swaps and Derivatives Association Credit Support Annex — governs OTC margin.

NAV: Net Asset Value — total fund assets less liabilities.

AUM: Assets Under Management — total market value of assets managed.

OTC: Over-the-counter — bilateral derivative contracts not traded on exchanges.

12.2 Methodology Notes

VaR is calculated using a 250-trading-day historical simulation window with full revaluation of all derivative positions. Parametric VaR uses covariance matrices updated weekly. Stressed VaR employs a 2008–2009 financial crisis analog period (Sept 2008 – March 2009). All VaR figures are 1-day holding period unless explicitly stated. Liquidity scores are computed using a proprietary model incorporating ADV, bid-ask spread, market impact, and instrument classification. Counterparty exposure is calculated on a net basis per ISDA netting agreements where applicable, and gross where no ISDA agreement exists.

12.3 Key Assumptions

- Normal trading conditions assumed unless stated (stress scenarios explicitly deviate).
- All USD figures are in millions unless otherwise noted.
- FX rates: EUR/USD 1.0820, GBP/USD 1.2640, USD/JPY 154.80, as of May 16, 2025.
- Equity prices and derivative marks are as of COB May 15, 2025 (T-1 for reporting).
- Redemption exposure estimated from formal notices received as of May 16, 2025.
- Correlation assumptions based on 1-year rolling realized correlations.
- Credit ratings sourced from S&P; Global Ratings; any split-rated securities use lower rating.
- Liquidity scoring updated monthly; three positions flagged are pending re-evaluation.

12.4 Report Authors & Analyst Disclosures

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